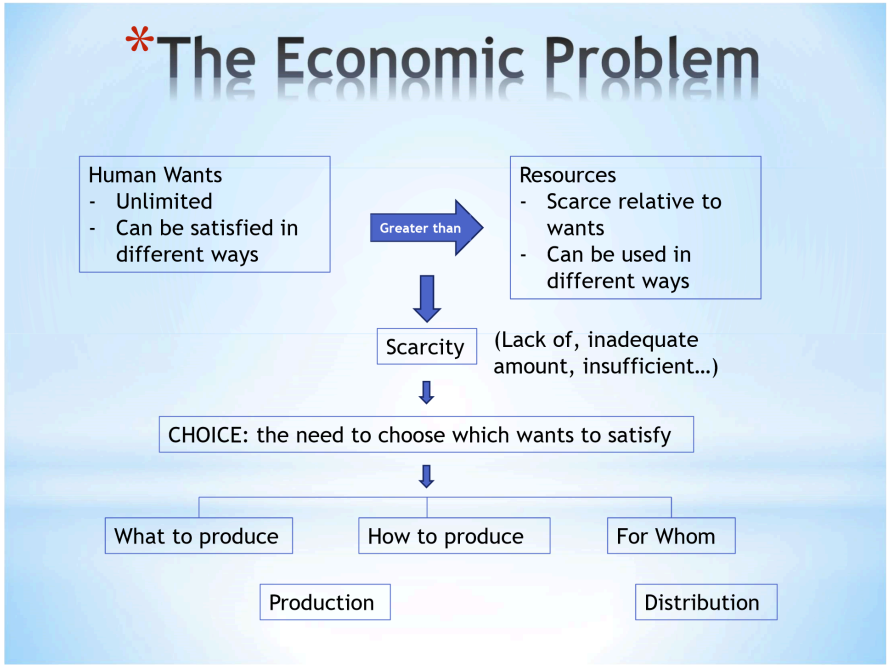
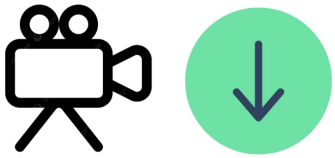
An economist studies the relationship between a society's resources and its production or output, and their opinions help shape economic policies related to interest rates, tax laws, employment programs, international trade agreements, and corporate strategies.

Economists analyse economic indicators such as gross domestic product and the consumer price index to identify potential trends or make economic forecasts.

☆ The Economic Problem and Scarcity



☆ Scarcity



Finish watching at 4m36s

Thinking Like An Economist- Macro/MicroTopic 1.1



Thinking Like An Economist- Macro/MicroTopic 1.1

Jacob Clifford

The economic problem exists because of the issue of scarcity. Scarcity refers to the limited availability of resources relative to unlimited human wants and needs.

Example: The government wants more hospitals, schools and roads, but cannot fund all three fully.

Wants vs Needs
• Wants = unlimited desires (new phone, holidays)
• Needs = essentials for survival (food, water, shelter)

This forces individuals, businesses, and governments to make choices about how to allocate those resources.
Why scarcity forces choice: Not enough resources → must prioritise.

Example: skilled workers, money, land, time, raw materials.

☆ Factors of Production

Watch on

What are factors of production
Factors of production are the resources needed to produce goods and services. Without these resources, businesses cannot operate or supply products to consumers.

There are four main factors of production.

1. Land

Land refers to all natural resources used in production. This includes land itself and anything that comes from nature. Examples include farmland, water, forests, minerals, coal, oil, and wind for wind power.

$ Income return from land is rent. Rent is the payment made for using natural resources.

2. Labour
Labour is the human effort used in the production process. This includes both physical and mental work. Examples include teachers, builders, doctors, factory workers, and shop assistants.

$ Income return from labour is wages or salaries. This is the payment workers receive for their work.

3. Capital
Capital refers to man-made resources used to produce other goods and services. These items help production but are not finished consumer products. Examples include machinery, tools, factories, computers, delivery trucks, and equipment.

$ Income return from capital is interest. Interest is earned when money or capital is lent or invested.

4. Enterprise/Entrepreneurship
Enterprise is the skill and willingness to take risks and combine the other factors of production to run a business. Examples include business owners, entrepreneurs, and managers who make decisions.

$ Income return from enterprise is profit. Profit is the reward for taking risks and successfully running a business.

✅ Complete the sentences below.

1. Factors of production are the _____ needed to produce goods and services.